4orm FINANCE

The Growing Pressure of Compliance in the Canadian Finance Market

Why regulatory cost, enforcement, consumer outcomes and evidence expectations are converging into one operating problem.

Research paper · Canada-first, primary-source led
October 2026
Research document, not legal advice
4orm Finance · Confidential
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Three parts, eighteen sections and nine exhibits. Every figure carries its source.

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Research cut-off: October 12, 2026. A reference in square brackets is a link to its source entry at the back.

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EXECUTIVE SUMMARY

Compliance pressure is converging into one operating problem.

Canadian financial regulation is moving beyond whether a process was completed. Regulators increasingly expect businesses to show that controls work, decisions are suitable, consumers receive understandable information, consent is meaningful, and the reasoning can be reconstructed from evidence.

+81%	Oct. 11, 2024	C$20M	100%
P&C REGULATORY COMPLIANCE COST GROWTH, 2022-2024	MORTGAGE SECTOR ENTERED FINTRAC AML/ATF REGIME	CURRENT PRESCRIBED-VIOLATION CEILING FOR AN ENTITY	FSRA SAMPLE LACKING DOCUMENTED SUITABILITY ASSESSMENT

Source: Insurance Bureau of Canada [6]; FINTRAC [3]; Justice Canada [4]; FSRA [7].

Stake. Financial firms are absorbing more compliance cost, more reporting obligations, more documentation requirements and larger downside if processes fail.

Truth. The clearest evidence does not show one universal Canadian compliance crisis. It shows several overlapping pressures: federal AML expansion, stronger provincial mortgage regulation, suitability scrutiny, operational-resilience expectations, privacy requirements and consumer-outcome policy.

Proof. Examples include an **81%** rise in surveyed P&C compliance costs from 2022 to 2024; mortgage firms entering the FINTRAC regime in October 2024; 105 firms reviewed by CSA/CIRO for KYC/KYP/suitability; and FSRA samples showing persistent documentation and supervision gaps.

Boundary. These data come from different sectors, geographies and samples. They should not be combined into a single failure rate or used to imply regulator endorsement of 4orm.

Action. The operating opportunity is to create evidence earlier: improve client understanding, capture professional reasoning, integrate controls into workflow and preserve a retrievable record as the decision happens.

Ten findings that matter.

- IBC's survey of 24 P&C insurers representing **61%** of that market reported C$753M in regulatory compliance costs in 2024, up **81%** from 2022; internal labour made up nearly three-quarters of the total.
- Mortgage administrators, brokers and lenders became subject to FINTRAC requirements on October 11, 2024.
- The current PCMLTFA sets up to C$20M for a prescribed violation by an entity; cumulative maximums can be the greater of C$20M or **3%** of prior-year gross global revenue.
- FINTRAC announced a **C$176**.96M administrative monetary penalty against Xeltox/Cryptomus in October 2025; the company appealed.
- FSRA's 2024-25 sample showed **100%** of examined files lacked a documented suitability assessment and **73%** had missing or inadequate material-risk disclosure.
- CSA/CIRO reviewed 105 firms and found inadequate processes and documentation supporting suitability determinations.
- B.C.'s new Mortgage Services Act takes effect October 13, 2026, with new licensing, conduct, disclosure, reporting and enforcement rules.
- FCAC says communicating in ways people understand means using comprehension or understanding as the measure of success.
- PIPEDA guidance says meaningful consent depends on whether people understand the nature, purpose and consequences of personal-information practices.
- OSFI and CCIR/CISRO also emphasize effective, documented controls and fair customer outcomes.

Sources: Insurance Bureau of Canada [6]; FINTRAC [3], [5]; Justice Canada [4]; FSRA [7]; CSA / CIRO [8]; BCFSA [9]; FCAC [1]; Office of the Privacy Commissioner of Canada [13]; OSFI [11]; CCIR / CISRO [12].

> **The direction is not simply 'more documentation.' It is evidence that the process worked for the person and can be demonstrated later.**
>
> Key takeaway

01 · THE COST AND REACH OF COMPLIANCE

Compliance cost is rising and spreading.

+81% rise in P&C regulatory compliance costs from 2022 to 2024 across 24 insurers

Financial firms are absorbing more compliance cost, more reporting obligations, more documentation requirements and larger downside if processes fail.

KEY TAKEAWAYS

- The economic problem is not only fines: labour, duplicated work and audit preparation drive cost.
- More regulated activity means more handoffs and more places for the record to fragment.
- For mortgage firms, AML compliance is now part of the transaction workflow.

Source: Insurance Bureau of Canada [6].

SECTION 01

Compliance cost is becoming an operating constraint.

C$753M	C$416M	+26%	~75%
P&C REGULATORY COMPLIANCE COSTS IN 2024	SAME SURVEY IN 2022	COMPLIANCE FULL-TIME EMPLOYEES	SHARE OF COST ATTRIBUTED TO INTERNAL LABOUR

Source: Insurance Bureau of Canada [6].

The most defensible recent Canadian compliance-cost evidence found in this review comes from Insurance Bureau of Canada. Its survey covered 24 P&C insurers representing **61%** of the Canadian market and measured calendar years 2022- 2024. Regulatory compliance cost rose from C$416M to C$753M - an **81%** increase over two years. Internal labour represented nearly three-quarters of total cost, and the number of full-time employees required for compliance rose **26%**.

EXHIBIT 1 · REGULATORY COMPLIANCE COST ROSE 81% IN TWO YEARS



24 P&C insurers representing 61% of the Canadian market.

Source: Insurance Bureau of Canada [6].

> **The economic problem is not only fines. It is labour, duplicated work, remediation, reporting, audit preparation and business disruption.**
>
> Key takeaway

SECTION 02

What the cost evidence does and does not prove.

What this proves

- Compliance cost can rise much faster than the underlying business or inflation in a regulated financial sector.
- Labour is a major component of the burden, making workflow, integration and evidence retrieval economically important.
- IBC reported **40%** of surveyed compliance time related to OSFI and the balance to provincial market-conduct requirements.

What this does not prove

- C$753M is not a total for the Canadian financial industry.
- It is not evidence that software can automatically reduce compliance cost by a fixed percentage.
- It does not isolate which rules or technologies caused the increase.

Context-only global benchmark

A 2017 Ponemon/Globalscape study of 53 U.S.-based multinational organizations reported average non-compliance costs of **US$14**.82M versus **US$5**.47M for compliance, a 2.71x ratio. This is useful context, but it is not Canada-specific and should not be used as a 2026 Canadian average.

Source: Globalscape / Ponemon Institute [17]. Context only; not Canada-specific.

SECTION 03

The regulatory surface area is expanding.

EXHIBIT 2 · SIX DEVELOPMENTS FROM 2024 TO 2026

Aug. 22, 2024
OSFI finalizes Guideline E-21
Raises expectations for operational risk management, resilience, documentation, mapping and testing.

Oct. 11, 2024
Mortgage sector enters FINTRAC AML/ATF regime
Adds compliance-program, KYC, monitoring, reporting and recordkeeping duties.

Dec. 10, 2025
CSA/CIRO publish Phase 2 CFR findings
105 firms reviewed for KYC, KYP and suitability; firms required to remediate identified issues.

2026
PCMLTFA penalty maximums amended
Prescribed violation ceiling becomes C$20M for an entity; cumulative maximum tied to C$20M or 3% of global revenue.

Sept. 1, 2026
OSFI E-21 full adherence date
Federally regulated institutions expected to complete core operational-resilience work.

Oct. 13, 2026
B.C. Mortgage Services Act takes effect
New licensing, conduct, disclosure, reporting and enforcement framework.

Source: OSFI [11]; FINTRAC [3]; CSA / CIRO [8]; Justice Canada [4]; BCFSA [9].

A mortgage firm may face federal AML/ATF obligations, provincial mortgage regulation, privacy law, lender requirements and internal supervision at the same time. The compliance problem therefore becomes a systems- integration problem as much as a legal one.

> **More regulated activity means more handoffs, more evidence sources and more opportunities for the record to become fragmented.**
>
> Key takeaway

SECTION 04

Mortgage firms are now FINTRAC reporting entities.

Effective October 11, 2024, mortgage administrators, mortgage brokers and mortgage lenders became subject to the Proceeds of Crime (Money Laundering) and Terrorist Financing Act and associated regulations.

Source: FINTRAC [3].

The operating obligations include

- Implement and maintain a compliance program.
- Verify identities and perform prescribed customer due diligence.
- Establish and monitor business relationships; apply enhanced measures where risk requires it.
- Obtain and confirm beneficial-ownership information for entities.
- Make politically exposed person / head of international organization determinations where required.
- Submit suspicious transaction and other prescribed reports where applicable.
- Keep prescribed transaction and client-identification records.
- Comply with ministerial directives and sanctions-evasion reporting requirements.

> **The new FINTRAC requirements have definitely been a challenge for brokerages.**
>
> Terry Kilakos, mortgage brokerage president · Source [15]

> **Compliance would be a greater burden on the agents without a technology solution.**
>
> Dave Teixeira, Dominion Lending Centres Group · Source [16]

SECTION 05

The enforcement stakes are now material.

C$20M
MAXIMUM PRESCRIBED VIOLATION FOR AN ENTITY

3%
GROSS GLOBAL REVENUE CAN DEFINE CUMULATIVE CEILING

C$176.96M
XELTOX/CRYPTOMUS AMP ANNOUNCED

Source: Justice Canada [4]; FINTRAC [5].

The Xeltox matter is an AML enforcement example, not a mortgage-sector benchmark. It demonstrates enforcement capacity in a high-risk case; Xeltox appealed the penalty.

Source: FINTRAC [5].

> **For mortgage firms, AML compliance is now part of the transaction workflow - not a back-office policy separated from client discovery.**
>
> Key takeaway

02 · WHAT REGULATORS NOW EXPECT

Regulators want proof that the process worked.

100% of FSRA-examined private-mortgage files lacked a documented suitability assessment

Canadian financial regulation is moving beyond whether a process was completed. Regulators increasingly expect businesses to show that controls work, decisions are suitable, consumers receive understandable information, consent is meaningful, and the reasoning can be reconstructed from evidence.

KEY TAKEAWAYS

- The file must support conduct, supervision, disclosures and the basis for the transaction.
- The evidentiary standard is moving from a label on the file to a chain of reasoning.
- Information must be usable enough to support a better decision.

Source: FSRA, 2024-25 sample [7].

SECTION 06

Ontario supervision is testing the quality of the file.

100%
NO DOCUMENTED SUITABILITY ASSESSMENT IN FILES EXAMINED

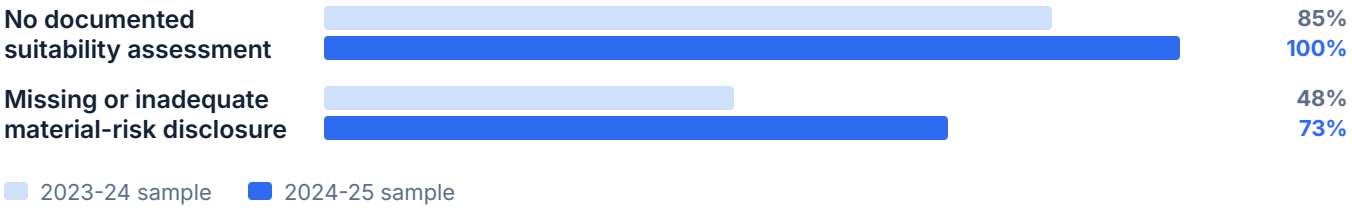
73%
MISSING / INADEQUATE MATERIAL-RISK DISCLOSURE

100%
INADEQUATE SUPERVISION IN ENTITIES EXAMINED

Source: FSRA [7].

FSRA's 2025-26 plan reports these figures from its 2024-25 private-mortgage supervision work. The suitability metric increased from **85%** in 2023-24; material-risk disclosure deficiencies increased from **48%** to **73%**.

EXHIBIT 3 · FILE GAPS GREW BETWEEN THE LAST TWO FSRA SAMPLES



Source: FSRA [7].

Boundary: these are examination findings from a defined Ontario private-mortgage sample. They are not a Canada-wide default rate for all mortgage brokerages.

SECTION 07

British Columbia and Saskatchewan raise the bar at the same time.

British Columbia: broader licensing, conduct and enforcement

The B.C. Mortgage Services Act takes effect October 13, 2026. BCFSA describes new licensing categories, standards of conduct, disclosures, business practices, reporting and expanded compliance/enforcement tools.

Source: BCFSA [9].

C$250K	C$500K	C$100K
SERIOUS DISCIPLINE PENALTY - INDIVIDUAL	SERIOUS DISCIPLINE PENALTY - BROKERAGE	MAXIMUM ADMINISTRATIVE PENALTY AMOUNT THAT MAY BE ESTABLISHED

Source: BCFSA [9]; BCFSA [10].

BCFSA's administrative-penalty framework also allows daily penalties in defined categories and separate penalties for separate contraventions.

Saskatchewan: suitability and supervision are established expectations

Saskatchewan's FCAA states that licensed mortgage brokers must act in the best interests of the borrower, with limited statutory exceptions, and comply with annual filings, notification requirements and consumer disclosure obligations.

Source: FCAA Saskatchewan [18].

> **The provincial direction reinforces the federal one: the file must support conduct, supervision, disclosures and the basis for the transaction.**
>
> Key takeaway

SECTION 08

Suitability is moving toward a defensible reasoning record.

In December 2025, the CSA and CIRO published findings from a second phase of Client Focused Reforms reviews covering 105 registered firms. The review focused on KYC, KYP and suitability determination requirements.

Source: CSA / CIRO [8].

The suitability determination requires registrants to consider

- the client's KYC information;
- the registrant's KYP assessment or understanding of the security;
- the impact on the client's account, including concentration and liquidity;
- the potential and actual impact of costs on return; and
- a reasonable range of alternative actions available through the firm.

The review found firms with inadequate processes for documenting suitability determinations, limited documentation that did not evidence a reasonable basis, and superficial tools such as checklists without supporting evidence of how factors were considered.

> **Documentation must always be sufficient to demonstrate a reasonable basis for the suitability determination.**
>
> CSA / CIRO Staff Notice 31-368 · Source [8]

Why this matters beyond securities

The exact legal test differs by sector. The broader operating pattern is transferable: a conclusion such as 'suitable' is weaker than a record showing the client context, alternatives considered, relevant risks, costs, reasoning and changes over time.

> **The evidentiary standard is moving from a label on the file toward a demonstrable chain of reasoning.**
>
> Key takeaway

SECTION 09

Consumer understanding is an explicit policy objective.

FCAC's National Financial Literacy Strategy is not a suitability rule and does not endorse 4orm. It is important because it articulates the federal consumer-outcome direction in unusually plain language.

The six ecosystem priorities are

- Communicate in ways people understand.
- Build and provide for diverse needs.
- Support increased digital access and digital literacy.
- Enhance access to trustworthy and affordable financial help.
- Use behavioural design to simplify financial decisions.
- Strengthen consumer protection measures.

Source: FCAC [1]; FCAC [2].

> **Using comprehension or understanding as the measure of success.**
>
> FCAC - communicating in ways people understand · Source [1]

FCAC also calls on financial-services providers to use user testing and behavioural design, deliver just-in-time information and make product information easier to compare and act on.

Source: FCAC [2].

SECTION 10

The consumer problem remains material.

47%
HOMEBUYERS FELT UNCERTAIN OR CONCERNED DURING HOMEBUYING

26%
MORTGAGE CONSUMERS HAD CONCERNS OR UNCERTAINTY DURING THE MORTGAGE PROCESS

32%
HOMEBUYERS INCURRED UNEXPECTED EXPENSES DURING HOMEBUYING

16%
ONLINE SEARCHERS USED AI FOR MORTGAGE INFORMATION

Source: CMHC [14].

CMHC's 2026 survey covered more than **4,100** recent mortgage consumers across Canada. Uncertainty declined from 2025, so the evidence does not support a claim that confusion is worsening. It does show that uncertainty remains meaningful during a high-stakes financial decision.

EXHIBIT 4 · HOMEBUYER UNCERTAINTY FELL BUT REMAINS HIGH



Share of homebuyers who felt concerned or uncertain during homebuying.

Source: CMHC [14].

> **The consumer-outcome direction is not 'make people read more.' It is make information usable enough to support a better decision.**
>
> Key takeaway

SECTION 11

Meaningful consent requires comprehension.

Privacy: meaningful consent requires comprehension

The Office of the Privacy Commissioner states that meaningful consent is essential under PIPEDA and that validity depends on whether customers can understand the nature, purpose and consequences of collection, use or disclosure of personal information.

Source: Office of the Privacy Commissioner of Canada [13].

> **People must understand what they are consenting to.**
>
> Office of the Privacy Commissioner of Canada · Source [13]

The OPC guidance also emphasizes clear, manageable information, user-friendly processes, choice for non-integral uses, and the ability to withdraw consent subject to legal or contractual limits.

SECTION 12

Insurers and banks must show fair outcomes and working controls.

Insurance: fair treatment is defined through outcomes

CCIR/CISRO guidance frames fair treatment around outcomes including placing customer interests ahead of the firm's own, providing accurate and clear information, minimizing inappropriate sales, ensuring relevant advice and protecting privacy.

Source: CCIR / CISRO [12].

> **Providing Customers with accurate, clear, not misleading and sufficient information ... which will allow them to make informed decisions.**
>
> CCIR / CISRO Fair Treatment of Customers guidance · Source [12]

Banking / federally regulated institutions: operational effectiveness must be documented

OSFI Guideline E-21 expects operational risk management and resilience to be governed, documented and implemented. It also expects assessment/reporting tools, clear accountability, end-to-end mapping of critical operations and documentation of decisions, actions and assessments.

Source: OSFI [11].

> **Ensuring decisions, actions, and assessments are adequately documented.**
>
> OSFI Guideline E-21 · Source [11]

> **Across different rulebooks, the same design challenge appears: clear information, meaningful consent, appropriate action, effective controls and evidence that can be demonstrated.**
>
> Key takeaway

SECTION 13

What regulators are actually asking for.

EXHIBIT 5 · EIGHT BODIES, ONE DIRECTION: EVIDENCE OF OUTCOMES

SOURCE	REGULATORY / POLICY LANGUAGE	OPERATIONAL IMPLICATION
FINTRAC	Compliance program, client identification, monitoring, reporting, recordkeeping	Evidence must be captured during the client and transaction workflow.
FSRA	Suitability assessment, risk disclosure, supervision, controls	The file must show why the mortgage was appropriate and how the brokerage supervised the work.
CSA / CIRO	KYC + KYP + costs + alternatives + client-first suitability	A suitable label is insufficient without evidence of the reasoning basis.
FCAC	Comprehension, trustworthy help, behavioural design, consumer protection	Success is partly whether people can understand and use the information.
OPC / PIPEDA	Meaningful consent and understandable purpose / consequences	Permission architecture must be understandable and context-specific.
CCIR / CISRO	Clear information, appropriate products, relevant advice, fair treatment	Product and advice processes must be designed around customer outcomes.
OSFI	Documented, implemented and tested operational controls	Controls have to work in practice and be demonstrable.
BCFSA	Licensing, conduct, disclosure, reporting and stronger enforcement	Business workflows need traceable compliance across files, people and systems.

Source: FINTRAC [3]; FSRA [7]; CSA / CIRO [8]; FCAC [1]; OPC [13]; CCIR / CISRO [12]; OSFI [11]; BCFSA [9].

The legal standard is not identical across these regimes. The value of the comparison is the direction of travel: regulators increasingly care about the effectiveness and outcome of the process, not merely the presence of a form.

> **The common denominator is evidence of what the business knew, what the person understood, what was considered and why the action made sense.**
>
> Key takeaway

03 · WHAT IT MEANS FOR FIRMS

Create the evidence during the work.

~75% of reported P&C compliance cost is internal labour, so workflow and retrieval matter

The operating opportunity is to create evidence earlier: improve client understanding, capture professional reasoning, integrate controls into workflow and preserve a retrievable record as the decision happens.

KEY TAKEAWAYS

- Reconstructing the record after the decision costs time and weakens the evidence.
- A technology claim is credible only with baselines for time, quality and understanding.
- The next proof is measured paid use inside a real regulated workflow.

Source: Insurance Bureau of Canada [6].

SECTION 14

The hidden cost is rebuilding the record after the decision.

Many firms already have CRM systems, email, document management, compliance tools, transaction systems and call records. The problem is often not the absence of information; it is fragmentation.

EXHIBIT 6 · WHERE THE INFORMATION SITS, AND WHAT A REVIEWER NEEDS

STAGE	INFORMATION EXISTS WHERE?	WHAT A LATER REVIEWER NEEDS
Discovery	Application, CRM, notes, email, meeting memory	Goals, concerns, circumstances, KYC/KYP facts, questions
Recommendation	Product system, illustration, broker/adviser notes	Alternatives considered, trade-offs, rationale, costs and risks
Consumer understanding	Conversation, disclosure, call, email	What the consumer actually understood or confirmed
Decision	Transaction record, signatures, system events	What changed, what was accepted, what was declined and why
After the fact	Multiple systems and people	One coherent, retrievable narrative supported by source evidence

Source: 4orm analysis.

When the reasoning is created only after a review request, firms pay for manual retrieval and reconstruction while also facing a weaker evidentiary record.

Industry testimony reflects this burden

> **Brokerages are being asked to implement complex compliance programs, track and report client information, and monitor transactions...**
>
> Terry Kilakos, Canadian Mortgage Professional · Source [15]

The quote is anecdotal rather than a measured market statistic, but it is consistent with the obligations FINTRAC actually lists for the sector.

Source: FINTRAC [3]; Canadian Mortgage Professional [15].

> **The highest-leverage compliance architecture creates the evidence during the workflow, rather than relying on reconstruction after the fact.**
>
> Key takeaway

SECTION 15

Six implications for financial businesses.

1. Integrate, do not duplicate. New compliance layers should connect to the systems and data staff already use. Every parallel workflow adds re-entry, reconciliation and training cost.

2. Capture the reasoning, not only the fields. Suitability, fair treatment and consumer-outcome expectations depend on why a recommendation or action made sense, not only which boxes were completed.

3. Make consumer understanding observable. Plain language, just-in-time education, scenario exploration and confirmation can create better evidence than a disclosure delivered without evidence of comprehension.

4. Preserve provenance. A defensible record should link each conclusion to its source: client-provided information, CRM data, documents, communications, models and professional decisions.

5. Build permission and privacy into the evidence model. More data is not automatically better. The record should explain purpose, sharing, correction and withdrawal of optional permissions where applicable.

6. Measure operational outcomes. Firms should baseline discovery time, review effort, rework, missing-information rates, exception rates, audit retrieval time and consumer understanding before claiming savings.

SECTION 16

Measure the baseline before claiming savings.

EXHIBIT 7 · PRACTICAL METRICS TO ESTABLISH BEFORE A PILOT

METRIC	BASELINE QUESTION	WHAT IMPROVEMENT WOULD MEAN
Discovery time	How many staff minutes are required before the professional can discuss the decision?	Less repeated information gathering.
Post-meeting administration	How much manual documentation is created after the meeting?	More evidence generated automatically during the work.
Review / QA time	How long does a principal broker or compliance reviewer need per file?	Better evidence organization and fewer gaps.
Missing information	How often does the firm chase clients or other parties for required information?	Fewer handoffs and incomplete files.
Consumer comprehension	Can the client explain key risks, costs and trade-offs?	A measurable consumer outcome, not merely delivery of disclosure.
Audit retrieval	How long does it take to reconstruct why a recommendation was made?	A retrievable, linked decision record.

Source: 4orm analysis.

> **A compliance technology claim is only credible when the firm can measure time, quality, evidence completeness and consumer outcome before and after implementation.**
>
> Key takeaway

SECTION 17

The 4orm research hypothesis.

4orm's thesis is that the market is over-investing in documentation after the decision and under-investing in understanding and evidence before and during the decision.

> **Help the consumer understand what is happening while giving the business the evidence to prove why it happened.**
>
> 4orm research hypothesis

EXHIBIT 8 · HOW THE HYPOTHESIS MAPS TO THE EVIDENCE

EVIDENCE SIGNAL	4ORM RESPONSE TO TEST	VALIDATION REQUIRED
FCAC: comprehension and behavioural design	Private exploration, plain-language questions, scenarios and just-in-time education	Measure comprehension, confidence and decision quality.
CSA/CIRO + FSRA: suitability reasoning / documentation gaps	Capture goals, facts, alternatives, risks, rationale and client confirmation	Measure file completeness, review quality and rework.
FINTRAC: integrated KYC / monitoring / reporting duties	Connect client-shared context into business workflows rather than creating another silo	Validate integration, permissioning and compliance boundaries.
PIPEDA: meaningful consent	Client-controlled sharing, purpose explanation and correction / permission controls	Privacy review and user testing.
OSFI / CCIR: effective controls and outcomes	Create linked, auditable evidence as the process occurs	Pilot with regulated firms; measure audit retrieval and control effectiveness.

Source: 4orm analysis; interpretation, not regulator language.

Commercial claim boundary

The regulatory evidence supports the existence of a problem. It does not prove that 4orm will reduce cost, improve suitability or achieve adoption. Those outcomes require paid pilots with pre-defined baselines and measurement.

> **The research establishes a credible problem and product thesis. Product-market fit remains an empirical question.**
>
> Key takeaway

SECTION 18

What could make the thesis wrong.

Consumer uncertainty is not universally worsening. CMHC reports that homebuyer concern/uncertainty fell from **62%** in 2025 to **47%** in 2026. The opportunity is not based on a claim that consumers are becoming steadily more confused.

More regulation does not automatically create software demand. Some firms can absorb new obligations through existing platforms, staff, templates, network solutions or outsourced compliance.

The largest fines are outliers. Xeltox is evidence of enforcement capacity, not a representative expected penalty for a mortgage brokerage.

Not every rule is about suitability. AML, privacy, operational resilience, securities suitability and insurance fair- treatment rules solve different regulatory problems. A product must respect these boundaries.

Client understanding is not a substitute for professional responsibility. Professionals remain responsible for advice, suitability and regulated conduct. Consumer tools can support, not replace, professional judgment.

Evidence collection can create privacy risk. A system that captures more information than necessary may increase privacy, retention, security and consent obligations.

Commercial kill tests

- If paid mortgage pilots do not reduce review/reconstruction effort relative to baseline, the efficiency thesis fails.
- If professionals do not find the added client context decision-useful, the discovery thesis fails.
- If consumers do not use the private exploration layer or do not perceive value, the two-sided model weakens.
- If integrations add more operational burden than they remove, the architecture is wrong.
- If privacy/compliance controls create so much friction that users avoid the workflow, the product design must change.

> **The right next proof is not another survey. It is measured paid use inside a real regulated workflow.**
>
> Key takeaway

CONCLUSION

Build the evidence upstream.

Stake. Compliance is becoming more expensive and more integrated into the day-to-day operation of financial businesses.

Truth. The strongest Canadian evidence shows regulatory expansion, higher cost, stronger enforcement tools and recurring deficiencies in suitability documentation, supervision and risk disclosure.

Proof. FINTRAC, FSRA, CSA/CIRO, BCFSA, FCAC, OSFI, CCIR/CISRO and the Office of the Privacy Commissioner are different bodies, but their materials repeatedly emphasize effective processes, clear information, appropriate outcomes, controls and evidence.

Boundary. There is no single regulator asking for 4orm, no universal Canadian compliance-cost figure, and no evidence yet that 4orm will deliver the proposed savings or adoption.

Action. Build the evidence upstream. The most defensible product strategy is to help people understand decisions before they are made, help professionals receive better context, and preserve a permissioned, auditable record of why the decision made sense.

> **4orm's opportunity is not to replace compliance systems. It is to connect client understanding, professional reasoning and evidence across them.**
>
> 4orm research conclusion

No regulatory endorsement is implied. This paper is research and strategy material, not legal or compliance advice.

APPENDIX

Research question, scope and method.

Research question

How is compliance pressure changing across Canadian financial services, what outcomes are regulators explicitly seeking, and what evidence do businesses increasingly need to preserve to demonstrate that their processes worked?

Scope

- Canada-first: federal regulators, national standard setters and provincial mortgage regulators are prioritized.
- Business-first: focus on cost, workflow, supervision, reporting, suitability, recordkeeping and auditability.
- Consumer outcomes are included where they change the business obligation or evidence standard.
- Mortgage is emphasized because it is 4orm's first commercial wedge; securities, insurance, banking and privacy test whether the pattern is broader.

APPENDIX · CONTINUED

Evidence hierarchy and research discipline.

EXHIBIT 9 · EVIDENCE HIERARCHY

TIER	EVIDENCE TYPE	USE
1	Statutes, regulator guidance, regulator supervision findings	Primary basis for legal/regulatory direction and factual claims
2	Government surveys and national regulatory bodies	Consumer experience and sector-wide context
3	Industry association research and named industry interviews	Operational context; not treated as law
4	Older/global benchmarks	Context only; never generalized to current Canadian finance

Source: 4orm method.

Research discipline

- Verified facts, management interpretations and hypotheses are separated.
- Maximum penalties are ceilings, not expected fines.
- Sample-based supervision results are not converted into national incidence rates.
- Policy direction is not treated as law unless the source is enforceable.
- 4orm's thesis is an interpretation of the evidence, not regulator language.

> **The paper is designed to show what is known, what it means, and where the evidence stops.**
>
> Key takeaway

SOURCES

Evidence register [1] to [18].

Eighteen sources, primary sources first. Each entry states the fact used and the limit on that fact.

[1] **FCAC.** Make Change that Counts: National Financial Literacy Strategy 2021-2026
Fact used: FCAC priorities; comprehension as measure of success. Limit: Policy strategy, not legal obligation or product endorsement.

[2] **FCAC.** How to advance the National Financial Literacy Strategy (2025)
Fact used: Provider calls: user testing, behavioural design, just-in-time information. Limit: Policy guidance.

[3] **FINTRAC.** Mortgage administrators, brokers and lenders - requirements
Fact used: Mortgage sector obligations effective Oct. 11, 2024. Limit: Federal AML/ATF rules; applicability depends on activities and definitions.

[4] **Justice Canada.** PCMLTFA, section 73.1
Fact used: C$20M prescribed-violation ceiling; 3% global-revenue cumulative mechanism. Limit: Maximum statutory penalties, not expected or typical fines.

[5] **FINTRAC.** Administrative monetary penalty on Xeltox Enterprises Ltd. (Oct. 22, 2025)
Fact used: C$176.96M Xeltox/Cryptomus AMP. Limit: MSB enforcement case; appealed; not a mortgage-sector benchmark.

SOURCES · CONTINUED

[6] **Insurance Bureau of Canada.** The Rising Cost of Regulation: A Competitiveness Challenge for Canada's Economy (2025)
Fact used: C$753M P&C compliance cost in 2024; +81% since 2022; +26% FTE. Limit: 24 insurers, 61% of Canadian P&C market; not all financial services.

[7] **FSRA.** Mortgage Brokering sector supervision plan 2025-26
Fact used: 100% no documented suitability assessment; 73% risk-disclosure gap; 100% inadequate supervision. Limit: Defined Ontario private-mortgage supervision sample; not national incidence.

[8] **CSA / CIRO.** Staff Notice 31-368 - KYC, KYP and suitability determination practices (Dec. 10, 2025)
Fact used: 105 firms reviewed; KYC/KYP/suitability documentation findings. Limit: Securities registrants; sector-specific legal requirements.

[9] **BCFSA.** Mortgage Services Act (effective Oct. 13, 2026)
Fact used: B.C. MSA effective Oct. 13, 2026; new conduct, disclosure, reporting and enforcement framework. Limit: British Columbia mortgage services only.

[10] **BCFSA.** Information on administrative penalties under the Mortgage Services Act (June 29, 2026)
Fact used: Administrative penalty framework; maximum administrative amount up to C$100K. Limit: B.C.; specific categories and contraventions determine amounts.

[11] **OSFI.** Guideline E-21: Operational Risk Management and Resilience (Aug. 22, 2024; full adherence Sept. 1, 2026)
Fact used: Documented/implemented operational risk and resilience; mapping and testing. Limit: Federally regulated financial institutions.

[12] **CCIR / CISRO.** Guidance: Conduct of Insurance Business and Fair Treatment of Customers (Sept. 2018)
Fact used: Fair treatment: clear information, appropriate products, relevant advice, privacy. Limit: Insurance guidance; application varies by provincial/territorial authority.

SOURCES · CONTINUED

[13] **Office of the Privacy Commissioner of Canada.** PIPEDA Fair Information Principle 3 - Consent
Fact used: Meaningful consent requires understanding nature, purpose and consequences. Limit: Privacy framework; governing statute varies by jurisdiction.

[14] **CMHC.** 2026 Mortgage Consumer Survey (May 20, 2026)
Fact used: 47% homebuyer uncertainty; 26% mortgage-process uncertainty; 32% unexpected expenses. Limit: CMHC survey of >4,100 recent mortgage consumers; 2026 uncertainty improved vs 2025.

[15] **Canadian Mortgage Professional.** Debate over challenging FINTRAC requirements for brokers rumbles into 2026 (Jan. 19, 2026)
Fact used: Broker quote describing FINTRAC implementation burden. Limit: Anecdotal secondary evidence.

[16] **Canadian Mortgage Trends.** Mortgage industry braces for FINTRAC's new AML rules (Oct. 10, 2024)
Fact used: Broker network quote on technology reducing compliance burden. Limit: Anecdotal secondary evidence.

[17] **Globalscape / Ponemon Institute.** The True Cost of Compliance with Data Protection Regulations (2017)
Fact used: 2.71x non-compliance/compliance cost ratio. Limit: 2017 U.S.-based multinational sample; context only.

[18] **FCAA Saskatchewan.** Mortgage Brokers - compliance with legislation
Fact used: Best-interest, filing, notification and disclosure duties. Limit: Saskatchewan mortgage brokers; not a national standard.

Research cut-off: October 12, 2026. Regulatory materials can change; always verify the current regulator or statutory source before relying on a requirement.

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